NPTEL Online Certification Courses

Indian Institute of Technology Kharagpur

Foundation Course in Managerial Economics

Assignment- 1

TYPE OF QUESTION: MCQ

Number of questions: 10 **Total mark: 10 X 1 = 10**

QUESTION 1:

Which of the following is a micro economic topic?

a. The reason why inflation increases.
b. The reason why Mr. Y purchases more chicken.
c. The impact of trade deficit on government trade policy.
d. The reason for increasing average prices.

Correct Answer: b

Solution:

Other options deal with macro-economic factors.

QUESTION 2:

Resources are

a) scarce for households but plentiful for economies.
b) plentiful for households but scarce for economies.
c) scarce for households and scarce for economies.
d) plentiful for households and plentiful for economies.

Correct Answer: c

Solution:

Economics deals with scarcity of resources.

QUESTION 3:

Which of the principles is incorrect from economics point of view?

a. People face trade-offs.
b. Markets are usually a good way to organize economic activity.
c. Price declines when Government print too much money.
d. Government can sometimes improve market outcome.

Correct Answer: C

Solution:

Price will increase when Government print too much money.

QUESTION 4:

The opportunity cost of attending university for a year is

a. The cost of semester fees
b. The cost of living
c. Wages that one could have earned if he worked instead of attending university
d. The cost of book

Correct Answer: c

Solution:

Refer the definition of opportunity cost that defines whatever must be given up to obtain some item.

QUESTION 5:

If the supply curve of rice per kg is defined by QS=1200+60P, and demand curve is defined by QD=1800-40P, what is market equilibrium price (P)?

a. 6
b. 7
c. 8
d. 9

Correct Answer: a

Solution:

At market equilibrium, quantity demanded is equal to quantity supplied and so, by solving QS=QD, we get the solution.

QUESTION 6:

If the supply curve of rice per kg is defined by QS=1200+60P, and demand curve is defined by QD=1800-40P, what is the equilibrium quantity (Q)?

a. 1600
b. 1700
c. 1890
d. 1560

Correct Answer: d

Solution:

First find out the market equilibrium price (P) by solving QS=QD. Then put the value of P in any of the equation of QS/QD, we shall get the solution.

QUESTION 7:

Which of the following would not shift the demand curve for butter?

a. a widely publicized study which indicates butter increases one's cholesterol
b. a reduction in the price of milk
c. An effective advertising campaign by butter producers.
d. A change in incomes of the butter consumers.

Correct Answer: b

Solution:

Other options are non-price determinant and cause shifting of demand curve. Option b. will impact supply and not demand for butter.

QUESTION 8:

Demand and supply curves of chocolate intersect at price of Rs 20. Price of a chocolate is Rs 25 inside the premises of university. This will lead to

a. Shortage of chocolate in the university premises
b. Surplus of chocolate in the university premises
c. Shift in the supply curve
d. Shift in demand curve

Correct Answer: b

Solution:

As the price is more than market equilibrium price, there will be fall in demand for chocolate in the university premises and some will be left unsold.

QUESTION 9:

If the price of A declines, the demand curve for the complementary product B will:

a. Shift to the left
b. Movement along the demand curve
c. Both movement and shifting of the curve
d. Shift to the right

Correct Answer: d

Solution:

Since both A and B are complementary products, reduction in the price of A increases the demand for B. That is why, demand curve for B shifts to right.

QUESTION 10:

In a market of four potato sellers E, F, G and H with price of Rs.35 per kg of potato, E is willing and ready to supply 20Kgs of potato, F is willing and ready to supply 30Kgs of potato, G is willing and ready to supply 40Kgs of potato and H is willing and ready to supply 50Kgs of potato. What is aggregate market supply of potato at Rs.35 per kg?

a. 20Kgs of E
b. 20, 30, 40 or 50 Kgs based on supplier
c. Sum of four i.e. 140 Kgs
d. 50Kgs of H

Correct Answer: c

Solution:

Aggregate market supply is the sum of quantity supplied by all the suppliers present in the market at a given price.

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